

SAP (SAPG.DE)

3Q26 preview: S/4 HANA product cycle momentum to remain resilient; Buy

SAPG.DE	12m Price Target: €230.00	Price: €183.92	Upside: 25.1%
SAP	12m Price Target: \$262.00	Price: \$208.57	Upside: 25.6%

SAP is scheduled to report 3Q26 results on Monday, October 21st, where we expect continued CCB growth as S/4 HANA product cycle momentum remains robust. Based on feedback from hosting the CEO at the Communacopia + Technology Conference 2026, we expect a broadly unchanged macro environment, with the Middle East no longer expected to be a meaningful drag on cloud revenue as said. Further, we view FY26 CCB guidance as broadly de-risked, as it already accounts for a potential Q4 CCB swing from Middle East-exposed business and large deal variability. Accordingly, we update our numbers for FX but keep our underlying assumptions unchanged, with a modest deceleration of CCB expected through H2 and an exit rate of 22% yoy ex-fx in 4Q.

Looking ahead, we continue to see SAP as well positioned to deliver robust cloud revenue growth driven by S/4HANA product cycle strength, with 60% of the base yet to migrate, leaving significant room for expansion over the medium term via migration and cross-and up-sell opportunities, with further optionality from its AI roadmap. While we acknowledge headwinds to operating profit from higher opex and the dilutive impact of acquisitions, we see potential for SAP to unlock structural cost efficiencies as the company transitions toward AI consumption-based models. Overall, we continue to expect SAP to outperform peers driven by the resilience of its idiosyncratic product cycle, as well as encouraging initial feedback on the AI roadmap at our Communacopia conference, but await further proof points on AI adoption and monetisation following the expected fall launch of Joule Work and the Autonomous Enterprise Suite.

SAP currently trades on CY27E EV/Recurring Revenue, P/E and EV/FCF of approximately c.5x/21x/18x for approximately 15%/23%/16% recurring revenue, EPS and FCF FY26-28E CAGRs respectively, with a PEG of 0.9x and EV/FCF to FCF growth of 1x -

BUY

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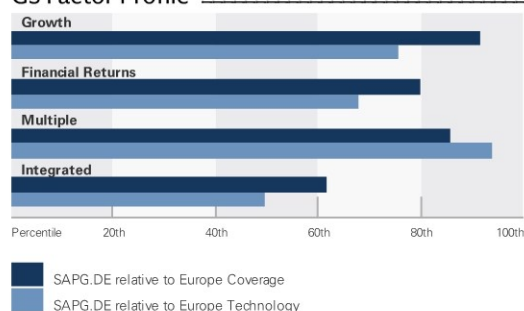
Key Data

Market cap: €214.6bn / \$242.1bn
Enterprise value: €212.5bn / \$239.6bn
3m ADTV: €424.8mn / \$488.8mn
Germany
Europe Technology
M&A Rank: 3
Leases incl. in net debt & EV?: No

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (€ mn) New	36,800.0	40,450.5	45,829.4	51,991.9
Revenue (€ mn) Old	36,800.0	40,452.5	45,724.3	51,872.4
EBIT (€ mn)	9,830.0	11,355.6	13,409.7	16,228.3
EPS (€) New	6.29	7.26	8.68	10.59
EPS (€) Old	6.29	7.26	8.65	10.57
EV/sales (X)	7.8	5.2	4.3	3.6
EV/EBITDA (X)	25.6	16.7	13.5	10.7
P/E (X)	38.6	25.3	21.2	17.4
Org. sales grth (%)	10.1	10.6	12.2	13.4
	3/26	6/26	9/26E	12/26E
EPS (€)	1.66	1.88	1.79	1.93

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates. See disclosures for details.

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BUY

SAP (SAPG.DE)

Rating since Jan 28, 2011

Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
EV/sales (X)	7.8	5.2	4.3	3.6
EV/EBITDAR (X)	25.6	16.7	13.5	10.7
EV/EBIT (X)	29.1	18.5	14.8	11.6
P/E (adj.) (X)	35.1	21.7	18.3	15.4
EV/FCF (X)	34.6	20.5	17.4	13.9
Free cash flow (€ mn)	8,263.5	10,270.6	11,447.6	13,548.4
FCF yield (%)	2.9	4.8	5.6	6.7
Net debt (€ mn)	(147.5)	(2,649.3)	(6,080.6)	(15,617.6)
Net debt/EBITDA (X)	(0.0)	(0.2)	(0.4)	(0.9)
Dividend yield (%)	1.0	1.5	1.6	1.7
Capex/sales (X)	2.0	2.0	1.9	1.8

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	7.7	9.9	13.3	13.4
Organic sales growth	10.1	10.6	12.2	13.4
EBITDA growth	87.4	13.4	16.5	19.2
EBIT growth	110.8	15.5	18.1	21.0
Op. margin (adj.)	32.9	33.2	33.8	35.2
EPS growth	137.2	15.4	19.6	22.1
EPS (adj.) growth	20.0	22.3	18.6	19.2

Price Performance



Income Statement (€ mn)

	12/25	12/26E	12/27E	12/28E
Total revenue	36,800.0	40,450.5	45,829.4	51,991.9
Total operating expenses	(20,286.0)	(21,754.0)	(24,024.5)	(26,327.0)
R&D	(6,633.0)	(7,285.9)	(8,395.2)	(9,436.6)
Other operating inc./.(exp.)	(51.0)	(55.0)	—	—
EBITDA	11,140.5	12,629.8	14,715.9	17,538.5
Depreciation & amortisation	(1,310.5)	(1,274.2)	(1,306.1)	(1,310.2)
EBIT	9,830.0	11,355.6	13,409.7	16,228.3
Operating profit (adj.)	12,112.0	13,444.4	15,487.1	18,305.7
Net interest inc./.(exp.)	533.0	460.1	225.0	300.0
Income/(loss) from associates	0.0	0.0	0.0	—
Total other net	118.0	(15.9)	—	—
Pre-tax profit	10,481.0	11,799.8	13,634.7	16,528.3
Provision for taxes	(2,990.0)	(3,350.9)	(3,954.1)	(4,793.2)
Minority interest	(107.0)	(64.0)	(40.0)	(40.0)
Net inc. (pre-exceptionals)	7,384.0	8,384.9	9,640.7	11,695.1
Post-tax exceptionals	744.3	1,401.0	1,515.0	1,515.0
Net inc. (post-exceptionals)	8,128.3	9,785.9	11,155.6	13,210.1
EPS (basic, pre-except) (€)	6.29	7.26	8.68	10.59
EPS (adjusted) (€)	6.92	8.47	10.04	11.96
Wtd avg shares out. (basic) (mn)	1,174.0	1,155.6	1,111.0	1,104.1
Tax rate (%)	28.5	28.4	29.0	29.0
Common dividends declared	2,938.8	3,186.2	3,181.4	3,415.0
DPS (€)	2.50	2.76	2.86	3.09
Div. payout ratio (%)	39.8	38.0	33.0	29.2
Organic sales growth (%)	10.1	10.6	12.2	13.4

Balance Sheet (€ mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	8,218.5	9,620.3	11,957.6	20,400.6
Accounts receivable	6,675.0	8,256.3	9,429.6	10,697.5
Inventory	—	—	—	—
Other current assets	5,362.0	5,362.0	5,362.0	5,362.0
Total current assets	20,255.5	23,238.6	26,749.2	36,460.2
Net PP&E	4,497.0	4,104.6	4,036.6	4,029.7
Net intangibles	31,296.0	31,296.0	31,296.0	(4,411.0)
Total investments	7,269.0	7,269.0	7,269.0	7,269.0
Other long-term assets	7,044.0	6,146.2	6,282.6	2,042.1
Total assets	70,361.5	72,054.4	75,633.4	45,389.9
Accounts payable	2,432.5	2,659.8	3,013.4	3,418.6
Short-term debt	—	—	—	—
Short-term lease liabilities	—	—	—	—
Other current liabilities	7,895.0	9,124.5	10,014.4	10,965.0
Total current liabilities	10,327.5	11,784.2	13,027.8	14,383.6
Long-term debt	8,071.0	6,971.0	5,877.0	4,783.0
Long-term lease liabilities	—	—	—	—
Other long-term liabilities	—	—	—	—
Total long-term liabilities	14,795.0	14,750.8	14,477.9	14,397.9
Total liabilities	25,122.5	26,535.0	27,505.7	28,781.5
Preferred shares	—	—	—	—
Total common equity	44,752.0	45,032.4	47,640.7	16,121.4
Minority interest	487.0	487.0	487.0	487.0
Total liabilities & equity	70,361.5	72,054.4	75,633.4	45,389.9
Adj. for unfunded pensions & GW	—	—	—	—
GCI, nominal (ex cash)	57,786.9	58,720.5	59,520.9	24,662.0

Cash Flow (€ mn)

	12/25	12/26E	12/27E	12/28E
Net income	7,385.0	8,384.9	9,640.7	11,695.1
D&A add-back	2,188.5	2,403.5	2,453.6	2,457.7
Minority interest add-back	107.0	64.0	40.0	40.0
Net (inc)/dec working capital	(888.0)	606.3	184.1	291.5
Other operating cash flow	210.0	(379.0)	0.0	0.0
Cash flow from operations	9,002.5	11,079.6	12,318.3	14,484.3
Capital expenditures	(739.0)	(809.0)	(870.8)	(935.9)
Acquisitions	(702.0)	—	—	—
Divestitures	—	—	—	—
Others	55.0	170.0	170.0	170.0
Cash flow from investing	(1,386.0)	(639.0)	(700.8)	(765.9)
Repayment of lease liabilities	—	—	—	—
Dividends paid (common & pref)	(2,743.0)	(2,938.8)	(3,186.2)	(3,181.4)
Inc/(dec) in debt	(3,488.0)	(1,100.0)	(1,094.0)	(1,094.0)
Other financing cash flows	(1,939.0)	(5,000.0)	(5,000.0)	(1,000.0)
Cash flow from financing	(8,170.0)	(9,038.8)	(9,280.2)	(5,275.4)
Total cash flow	(1,389.5)	1,401.8	2,337.3	8,443.0

Source: Company data, Goldman Sachs Research estimates.

broadly in line with the peer average. In our view, SAP continues to offer a compelling and idiosyncratic product cycle story well within its sweet spot, complemented by meaningful margin and cash flow levers driving robust multi-year compounding. We are Buy rated with a new 12-month price target of €230 (ADR: \$262).

Key focus for 3Q26 results

1) See unchanged macro environment; broadly de-risked CCB and revenue guidance

Based on feedback from hosting the CEO at Communacopia + Technology Conference 2026, we see a broadly unchanged macro backdrop, with some continued geopolitical uncertainty but the Middle East no longer expected to have a material impact on cloud revenue. We make no changes to our organic CCB assumptions, continuing to expect c.23% organic CCB growth ex-FX for 3Q26, with a modest deceleration through the remainder of the year and an exit rate of 22% in 4Q, consistent with company guidance, and FY26 cloud revenue growth of c.24% ex-fx in line with guidance. We view CCB guidance as already prudent, as it accounts for a potential Q4 swing from Middle East-exposed business and conservatism around large/mega deal closing in 4Q26, limiting downside risk to the full year and, as a result, view both CCB and revenue guidance as broadly de-risked for FY26.

2) Further colour on S/4HANA product cycle momentum in terms of transition to migration, up-sell and cross-sell & optionalities on medium-term growth

We expect management to provide incremental colour on S/4HANA product cycle momentum with respect to migration, up-sell and cross-sell of LoB solutions, and AI offerings. Note that SAP remains in the early innings of migration, with 60% of the base yet to migrate. Encouragingly, management noted that AI demand is providing an additional tailwind to migration activity, with customers who previously moved to S/4 on-premise now choosing to migrate to the cloud specifically to access AI capabilities. Based on our conversations at Communacopia, we also noted signs of a robust pipeline, with the updated AI roadmap and new migration tooling expected to help accelerate migration activity, though conversion rates remain the key variable to monitor. Overall, we believe SAP is in a sweet spot with respect to its S/4HANA migration cycle relative to the broader software space.

3) Further details on progress of cost levers underpinning double-digit ex-fx EBIT growth

We continue to expect a broadly unchanged EBIT margin of 33.2% and EBIT growth of 14.5% yoy ex-fx (midpoint of guidance), as we continue to see that SAP has the ability to flex its cost base to protect EBIT growth and margins driven by the structural cost efficiencies (within S&M, R&D, G&A, streamlining of GTM and hiring pace, which they have flagged they remain flexible on). We also note that Gross margin dynamics will continue to be impacted by increased hardware cost but believe they are well reflected in our forward GM assumptions. Lastly, the main variable on opex in the short term remains costs of inference, which remain difficult to predict quarter to quarter; however, as SAP optimises model costs, these should be offset by other opex savings.

4) Underlying FCF evolution and dynamics impacting FCF in FY26 and beyond

We continue to expect FY26 FCF to land broadly in line with the guidance at c.EUR10bn. With respect to migration credits, we keep our assumptions unchanged, and continue to expect €400/200mn of migration credits in FY26/27, and expect FCF to grow at c.+17% in the outer years (FY27-30E).

Changes to estimates

We update our estimates ahead of 3Q26 results for FX (broadly stable for FY26). We keep our revenue and EBIT estimates broadly unchanged. Overall, we remain modestly below consensus on both CCB and cloud revenues.

Exhibit 1: Old vs New estimates

EUR mn except per share data

Year to December	2026E OLD	2026E NEW	% Chg.	2027E OLD	2027E NEW	% Chg.	2028E OLD	2028E NEW	% Chg.	2029E OLD	2029E NEW	% Chg.	2030E OLD	2030E NEW
Current Cloud Backlog	25,595	25,590	0%	31,440	31,513	0%	38,357	38,446	0%	46,603	46,712	0%	56,623	56,755
% yoy	21.6%	21.6%		22.8%	23.1%		22.0%	22.0%		21.5%	21.5%		21.5%	21.5%
% yoy ex fx reported	22.8%	22.8%		22.0%	22.0%		22.0%	22.0%		21.5%	21.5%		21.5%	21.5%
% yoy organic ex fx reported	22.0%	22.0%		22.0%	22.0%		22.0%	22.0%		21.5%	21.5%		21.5%	21.5%
License Revenue	666	667	0%	436	439	1%	283	285	1%	184	185	1%	120	120
% yoy	-32.7%	-32.6%		-34.5%	-34.3%		-35.0%	-35.0%		-35.0%	-35.0%		-35.0%	-35.0%
% yoy ex fx reported	-32.2%	-32.2%		-35.0%	-35.0%		-35.0%	-35.0%		-35.0%	-35.0%		-35.0%	-35.0%
% yoy organic ex fx reported	-32.2%	-32.2%		-35.0%	-35.0%		-35.0%	-35.0%		-35.0%	-35.0%		-35.0%	-35.0%
Maintenance	9,718	9,719	0%	8,910	8,929	0%	7,982	7,999	0%	7,001	7,016	0%	6,058	6,071
% yoy	-7.7%	-7.7%		-8.3%	-8.1%		-10.4%	-10.4%		-12.3%	-12.3%		-13.5%	-13.5%
% yoy ex fx reported	-6.8%	-6.8%		-8.7%	-8.7%		-10.4%	-10.4%		-12.3%	-12.3%		-13.5%	-13.5%
Subscription Revenue	25,897	25,892	0%	32,023	32,098	0%	39,117	39,208	0%	47,375	47,486	0%	56,940	57,073
% yoy	23.2%	23.2%		23.7%	24.0%		22.2%	22.2%		21.1%	21.1%		20.2%	20.2%
% yoy ex fx reported	24.4%	24.4%		22.8%	22.8%		22.2%	22.2%		21.1%	21.1%		20.2%	20.2%
% yoy organic ex fx reported	23.6%	23.6%		22.6%	22.6%		22.2%	22.2%		21.1%	21.1%		20.2%	20.2%
Total Revenue	40,452	40,450	0%	45,724	45,829	0%	51,872	51,992	0%	59,178	59,315	0%	67,868	68,026
% yoy	9.9%	9.9%		13.0%	13.3%		13.4%	13.4%		14.1%	14.1%		14.7%	14.7%
% yoy ex fx reported	11.0%	11.0%		12.3%	12.3%		13.4%	13.4%		14.1%	14.1%		14.7%	14.7%
% yoy organic ex fx reported	10.6%	10.6%		12.2%	12.2%		13.4%	13.4%		14.1%	14.1%		14.7%	14.7%
Non-IFRS Cloud Gross Profit (incl SBC)	19,323	19,319	0%	24,001	24,058	0%	29,616	29,686	0%	36,083	36,167	0%	43,561	43,662
Non-IFRS Cloud Gross Margin (incl SBC)	74.6%	74.6%		74.9%	75.0%		75.7%	75.7%		76.2%	76.2%		76.5%	76.5%
Non-IFRS Gross Profit (incl SBC)	29,590	29,588	0%	33,345	33,423	0%	37,988	38,076	0%	43,487	43,589	0%	50,081	50,198
Non-IFRS Gross Margin (incl SBC)	73.1%	73.1%		72.9%	72.9%		73.2%	73.2%		73.5%	73.5%		73.8%	73.8%
Non IFRS opex (incl SBC) growth (ex-fx) as % of revenue growth	8%	8%		9%	9%		9%	9%		10%	10%		10.6%	11%
	69%	69%		75%	75%		69%	69%		72%	72%		72.5%	73%
PF Op. Income - incl SBC	11,772	11,771	0%	13,751	13,787	0%	16,563	16,606	0%	19,893	19,944	0%	23,975	24,034
PF Op. Margin - incl SBC	29.1%	29.1%		30.1%	30.1%		31.9%	31.9%		33.6%	33.6%		35.3%	35.3%
% yoy	13.0%	13.0%		16.8%	17.1%		20.4%	20.4%		20.1%	20.1%		20.5%	20.5%
% yoy ex fx reported	14.5%	14.5%		16.1%	16.1%		20.4%	20.4%		20.1%	20.1%		20.5%	20.5%
PF EPS	8.47	8.47	0%	10.02	10.04	0%	11.94	11.96	0%	14.22	14.25	0%	17.03	17.07
% yoy	22%	22%		18%	19%		19%	19%		19%	19%		20%	20%
PF EPS - incl SBC	7.15	7.15	0%	8.93	8.95	0%	10.84	10.87	0%	13.12	13.15	0%	15.92	15.96
% yoy	17%	17%		25%	25%		21%	21%		21%	21%		21%	21%
FCF (GS definition)	9,971	9,971	0%	11,110	11,148	0%	13,217	13,248	0%	15,585	15,622	0%	18,895	18,939
Y/Y growth	25%	25%		11%	12%		19%	19%		18%	18%		21%	21%

Source: Goldman Sachs Global Investment Research

Exhibit 2: GS vs Consensus

EUR mn except per share data

Visible Alpha	Sep-26E			2026E			2027E			2028E		
	GS	Avg	GS vs Cons.	GS	Avg	GS vs Cons.	GS	Avg	GS vs Cons.	GS	Avg	GS vs Cons.
Current Cloud backlog (CCB)	22,665	23,401	-3%	25,590	26,051	-2%	31,513	31,540	0%	38,446	37,614	2%
YoY Growth	20.3%	24.2%		21.6%	23.7%		23.1%	21.1%		22.0%	19.3%	
CC YoY Growth	23.8%	24.5%		22.8%	23.1%		22.0%	21.1%		22.0%	19.3%	
Licences	110	122	-10%	667	707	-6%	439	520	-16%	285	393	-27%
YoY Growth	-32%	-24%		-33%	-29%		-34%	-27%		-35%	-24%	
Support revenues	2,407	2,388	1%	9,719	9,665	1%	8,929	8,733	2%	7,999	7,782	3%
YoY Growth	-6%	-7%		-8%	-8%		-8%	-10%		-10%	-11%	
Subscription revenues	6,621	6,567	1%	25,892	25,786	0%	32,098	31,580	2%	39,208	37,862	4%
YoY Growth	25%	24%		23%	23%		24%	22%		22%	20%	
CC YoY Growth	23.5%	23.3%		24.4%	24.1%		22.8%			22.2%		
Cloud & Software (SSRS)	9,138	9,075	1%	36,278	36,154	0%	41,466	40,815	2%	47,492	46,010	3%
YoY Growth	14%	13%		11%	11%		14%	13%		15%	13%	
CC YoY Growth	13%	12%		13%	12%		13%	13%		15%		
Total Revenues	10,196	10,117	1%	40,450	40,276	0%	45,829	44,983	2%	51,992	50,279	3%
YoY Growth	12.3%	11.5%		9.9%	9.4%		13.3%	11.7%		13.4%	11.8%	
CC YoY Growth	11.0%	10.8%		10.6%	10.7%		12.2%	11.2%		13.4%		
Non-IFRS Cloud gross profit (incl SBC)	4,924	4,926	0%	19,319	19,357	0%	24,058	23,785	1%	29,686	28,691	3%
Non-IFRS Cloud gross margin	74.4%	75.0%		74.6%	75.1%		75.0%	75.3%		75.7%	75.8%	
Non-IFRS Gross Profit	7,419	7,439	0%	29,588	29,647	0%	33,423	33,058	1%	38,076	36,957	3%
Non-IFRS Gross Margin	72.8%	73.5%		73.1%	73.6%		72.9%	73.5%		73.2%	73.5%	
PF Operating Profit	3,434	3,394	1%	13,444	13,360	1%	15,487	15,395	1%	18,306	17,670	4%
PF Operating Margin	33.7%	33.5%		33.2%	33.2%		33.8%	34.2%		35.2%	35.1%	
YoY Growth	15%	13%		11%	10%		15%	15%		18%	15%	
YoY Growth ex-fx	13%			12%			14%			18%		
SBC	460	436	5%	1,673	1,575	6%	1,700	1,791	-5%	1,700	1,997	-15%
Non IFRS opex (incl SBC)	4,445	4,482	-1%	17,817	17,862	0%	19,636	19,454	1%	21,471	21,283	1%
% yoy	7.7%	8.5%		6.5%	6.8%		10.2%	8.9%		9.3%	9.4%	
% yoy ex-fx	6.3%	7.2%		7.6%	7.4%		9.2%			9.3%		
% of revenue growth	58%	67%		72%	69%		76%	80%		69%	80%	
PF Operating Profit -incl-SBC	2,974	2,957	1%	11,771	11,785	0%	13,787	13,604	1%	16,606	15,674	6%
PF Operating Margin -incl-SBC	29.2%	29.2%		29.1%	29.3%		30.1%	30.2%		31.9%	31.2%	
YoY Growth	15.9%	15.3%		13.0%	13.1%		17.1%	15.4%		20.4%	15.2%	
YoY Growth ex-fx	14.6%	13.9%		14.5%	14.6%		16.1%	14.4%		20.4%	15.2%	
PF EPS	2.14	2.04	5%	8.47	7.94	7%	10.04	9.31	8%	11.96	10.73	12%
YoY Growth	7%	2%		22%	15%		19%	17%		19%	15%	
PF EPS incl. SBC	1.86	1.77	5%	7.15	6.98	2%	8.95	8.19	9%	10.87	9.47	15%
YoY Growth	18%	12%		17%	14%		25%	17%		21%	16%	
FCF (company definition)		1,621		9,681	9,901	-2%	11,093	11,265	-2%	13,118	12,713	3%

Source: Visible Alpha Consensus Data, Goldman Sachs Global Investment Research

Exhibit 3: GS vs Guidance

		2026E	
		Guidance*	GS estimates
Revenue	Non-IFRS cloud revenue (reported)		25.9
	Non-IFRS cloud revenue (constant currency)	€25.8bn-€26.2bn	26.2
	Constant currency growth rate*	23% to 25%	24.4%
	Expected currency impact	-1.5%	-1.2%
	Non-IFRS cloud and software revenue (reported)		36.3
	Non-IFRS cloud and software revenue (constant currency)	€26.3bn-€36.8bn	36.6
	Constant currency growth rate*	12% to 13%	12.6%
	Expected currency impact	-1.5%	-1.1%
	Non-IFRS total revenue (reported)		40.5
	Non-IFRS total revenue (constant currency)		40.9
	Constant currency growth rate*		11.0%
	Expected currency impact		-1.1%
	Share of predictable revenue (total of cloud revenue and software support revenue)		88%
	Non-IFRS operating profit (reported)		13.4
Operating Profit	Non-IFRS operating profit (constant currency)		13.63
	Constant currency growth rate*		12.5%
	Expected currency impact		-1.5%
	Non-IFRS operating margin		33.2%
	Non-IFRS Operating Profit incl SBC		11.77
	Non-IFRS Operating profit incl SBC (constant currency)	€11.8bn-€12.2bn	11.93
	Non-IFRS Constant currency growth rate incl SBC*	13% to 17%	14.5%
	Non-IFRS incl SBC Expected currency impact	-2.0%	-1.5%
	Non-IFRS Operating margin incl SBC		29.1%
	Operating Cash Flow		11.1
OCF	Free Cash Flow (new definition)		9.7
Free Cash Flow	Free Cash Flow	c.€10bn	10.0

*2026 guidance Based on USD at 1.14

Source: Company data, Goldman Sachs Global Investment Research

Valuation

On GS CY27 estimates, SAP trades on a PEG of 0.9x and EV/FCF to growth of 1x, which is broadly in line with the software peer group average. We also see support on EV/Recurring revenues, with the shares trading on c.4x on CY27E, below historical levels. Furthermore, we note our Reverse DCF implies the current share price is discounting c.7% revenue growth over the next decade (we assume EBIT margin expansion to c.35% by 2030E, holding all else equal), which we view as undemanding. Overall, we continue to believe SAP offers an idiosyncratic product cycle story that remains well within its sweet spot, further complemented by margin and cash flow levers driving robust multi-year compounding. We see evidence of AI product take-up and monetisation that should drive a progressive re-rating, and the stock remains the top pick in our European Software coverage universe.

We are Buy rated. Our 12m PT of €230 and our ADR PT of US\$262 are based on c.23x 3Q27-2Q28E PF EPS incl. SBC (vs previously, our €215 and ADR PT of US\$245 are based on c.22x 3Q27-2Q28E PF EPS incl. SBC). We raise our core multiple to c.23x (vs c.22x) given the broader peer group re-rating.

Exhibit 4: SAP's growth-adjusted multiples trade broadly in line with broader software peers

SAP multiples vs software peers

CY27E	P/E	26-28 EPS CAGR	PEG	EV/FCF	26-28 FCF CAGR	FCF PEG
MSFT	23.2x	19.3%	1.2x	NM	NM	NM
ADBE	8.9x	15.0%	0.6x	7.9x	7.3%	1.1x
WDAY	13.7x	23.2%	0.6x	10.2x	33.1%	0.3x
CRM	15.5x	18.3%	0.9x	13.0x	12.0%	1.1x
NOW	27.1x	23.0%	1.2x	20.6x	21.2%	1.0x
SAPG.DE	20.8x	23.3%	0.9x	17.9x	18.6%	1.0x
Avg of group	18.2x	20.3%	0.9x	13.9x	18.4%	0.9x
Avg ex- SAP	17.7x	19.8%	0.9x	12.9x	18.4%	0.9x

Source: Goldman Sachs Global Investment Research

Exhibit 5: Assuming margin stabilises at c.35% in FY30E, we believe the market is discounting c.7% net revenue growth over the long term

SAP reverse DCF analysis

Year to December (EURm)	2018	2019	2020E	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E
EBITA	6,334	6,393	7,204	5,435	5,420	6,512	8,153	10,418	11,448	12,651	14,358	16,158	18,151	19,403	20,742	22,173	23,703	25,339	27,087
Tax	(1,708)	(2,338)	(1,194)	(2,063)	(1,675)	(2,242)	(2,277)	(2,198)	(3,663)	(4,048)	(4,595)	(5,171)	(5,808)	(6,209)	(6,637)	(7,095)	(7,585)	(8,108)	(8,668)
After tax EBIT	4,626	4,055	6,010	3,372	3,745	4,271	5,876	8,220	7,785	8,603	9,764	10,988	12,343	13,194	14,105	15,078	16,118	17,230	18,419
Depreciation	788	1,182	1,255	1,152	1,286	1,028	925	900	921	944	967	991	1,015	1,040	1,065	1,091	1,118	1,145	1,173
Chg. in working capital	(776)	(736)	594	256	(314)	57	593	(888)	(949)	(1,015)	(1,085)	(1,160)	(1,240)	(1,325)	(1,417)	(1,514)	(1,619)	(1,731)	(1,850)
Capex	(1,458)	(817)	(816)	(825)	(874)	(785)	(797)	(739)	(754)	(769)	(784)	(800)	(816)	(833)	(849)	(866)	(884)	(902)	(920)
Restructuring charges & other charges	(19)	(1,128)	3	(156)	(139)	(369)	(3,144)	(177)	(177)	(177)	(177)	(177)	(177)	(177)	(177)	(177)	(177)	(177)	(177)
SBC (cash based)	(829)	(1,257)	(1,310)	(1,120)	(1,183)	(1,091)	(1,282)	(816)	(816)	(816)	(816)	(816)	(816)	(816)	(816)	(816)	(816)	(816)	(816)
IFRS 16 related adjustments		(404)	(378)	(374)	(424)	(325)	(310)	(299)	(299)	(299)	(299)	(299)	(299)	(299)	(299)	(299)	(299)	(299)	(299)
Free Cash Flow (pre interest charges)	2,331	1,300	5,331	2,305	2,097	2,785	1,861	6,201	5,711	6,471	7,570	8,727	10,010	10,784	11,612	12,496	13,441	14,452	15,531
Discount Calculator									0.50	1.50	2.50	3.50	4.50	5.50	6.50	7.50	8.50	9.50	
Discount Factor									96%	89%	82%	76%	70%	65%	60%	55%	51%	47%	
Discounted Cash Flow									6,219	6,719	7,154	7,579	7,541	7,499	7,454	7,405	7,353	7,298	

Control Panel:

Current Price	€ 185.3	Valuation:	Sum of DCFs	72,219
Current Year	2028	Terminal Value	294,472	
Perpetuity Growth	3.0%	Discounted TV	138,375	
Risk free rate (%)	2.7%	Firm Value/EV	210,595	
Spread over RT (%)	0.5%	Cash	4,201	
Tax Rate (%)	26.0%	Equity Value	214,796	
Risk Premium (%)	5.5%	Shares outst.	1,155.6	
Beta (X)	1.1	DCF value (EUR)	€ 185.9	
Terminal Multiple	19.0	Upside/Downside	0%	
Market Cap.	214,148 % mix			
(Net Debt)/Cash	4,201 95%			
Enterprise Value	209,947 5%			
Cost of Equity	8.6%	Value Mix		
Cost of Debt	2.4%	Sum of DCFs	34%	
WACC	8.3%	Terminal Value	64%	
		Cash	2%	

Current Price - Valuation:

Price	€ 185.3
Market Cap	214,148
Ent. Value	209,947
25 FCF Yield	2.9%
26 FCF Yield	2.7%
25 P/E (incl. ESO)	26.8
26 P/E (incl. ESO)	21.9

At DCF Price - Valuation:

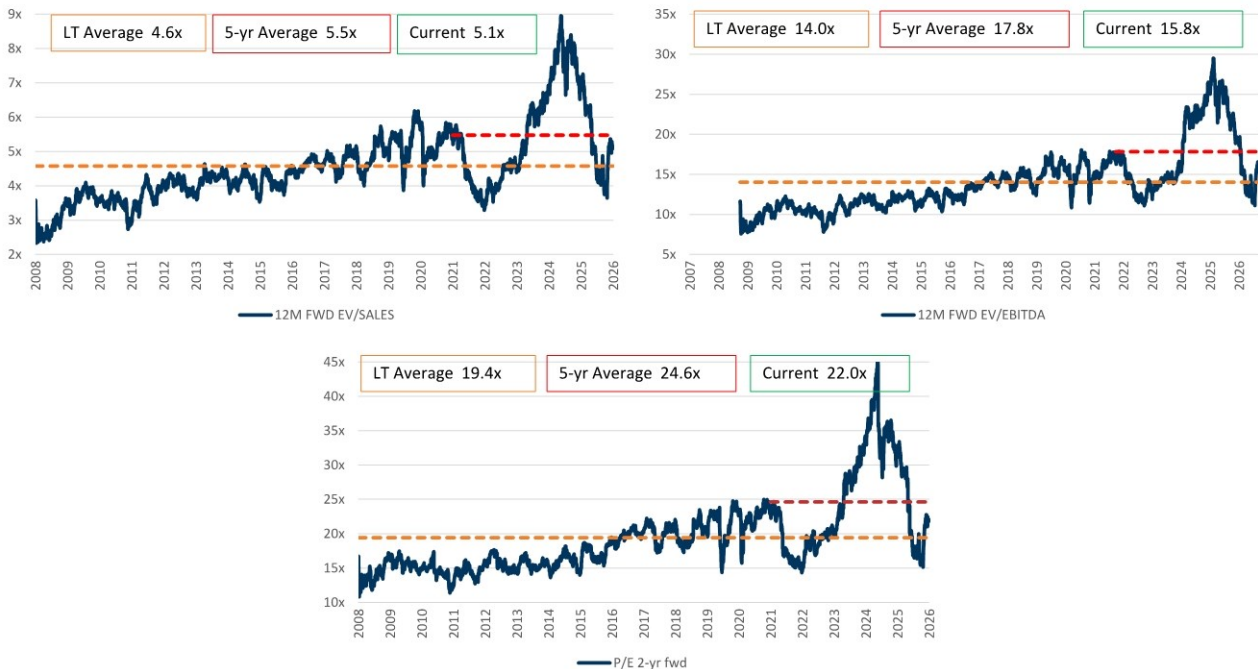
Price	€ 185.9
Market Cap	214,796
Ent. Value	210,595
25 FCF Yield	2.9%
26 FCF Yield	2.7%
25 P/E (incl. ESO)	26.8
26 P/E (incl. ESO)	21.9

DCF Assumptions	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E
Sales	24,741	27,633	27,342	27,844	30,870	31,207	34,176	36,800	39,339	42,054	44,955	48,057	51,373	54,918	58,707	62,758	67,088	71,717	76,666
YoY Growth	11.7%	-1.1%	1.8%	10.9%	1.1%	9.5%	7.7%	6.9%	6.9%	6.9%	6.9%	6.9%	6.9%	6.9%	6.9%	6.9%	6.9%	6.9%	6.9%
EBITA ex-SBC margins	6,334	6,393	7,204	5,435	5,420	6,512	8,153	10,418	11,448	12,651	14,358	16,158	18,151	19,403	20,742	22,173	23,703	25,339	27,087
Margin	25.6%	23.1%	26.3%	19.5%	17.6%	20.9%	23.9%	28.3%	29.1%	30.1%	31.9%	33.6%	35.3%	35.3%	35.3%	35.3%	35.3%	35.3%	35.3%
D as % of sales	3%	4%	5%	4%	4%	3%	3%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%
Change in working Capital as % of sales	-3%	-3%	2%	1%	-1%	0%	2%	-2%	-2%	-2%	-2%	-2%	-2%	-2%	-2%	-2%	-2%	-2%	-2%
Capex as % of sales	6%	3%	3%	3%	3%	3%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%
Tax rate	27%	37%	17%	38%	31%	34%	28%	21%	32%	32%	32%	32%	32%	32%	32%	32%	32%	32%	32%

Source: Goldman Sachs Global Investment Research

Exhibit 6: SAP valuation metrics

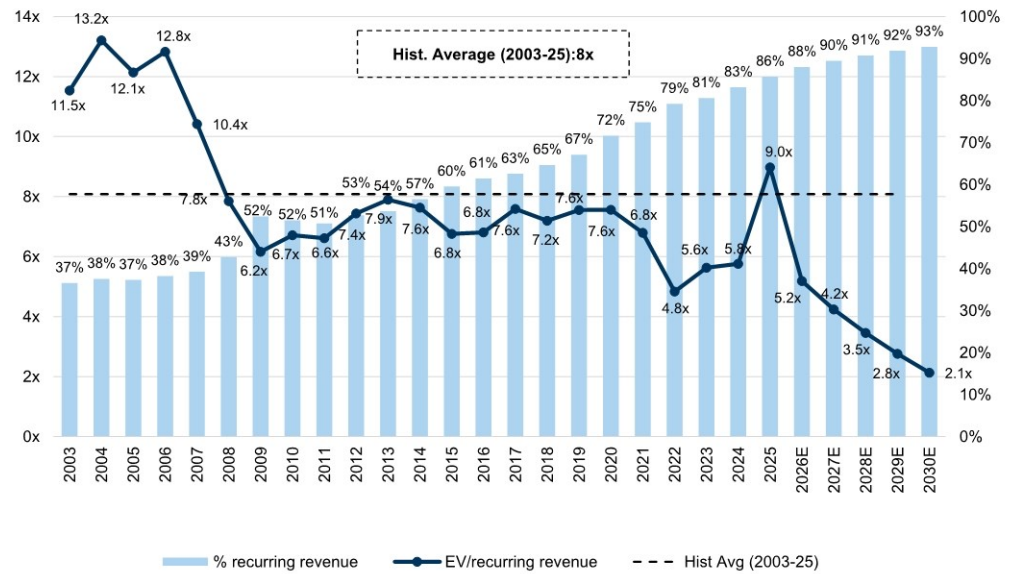
EV/sales 12m fwd; EV/EBITDA 12m fwd; P/E 2-yr fwd



Source: Eikon Datastream

Exhibit 7: We also see support on EV/Recurring revenues with the shares trading on c.4x on CY27E, below historical levels

SAP's EV/recurring multiples & % of recurring revenue

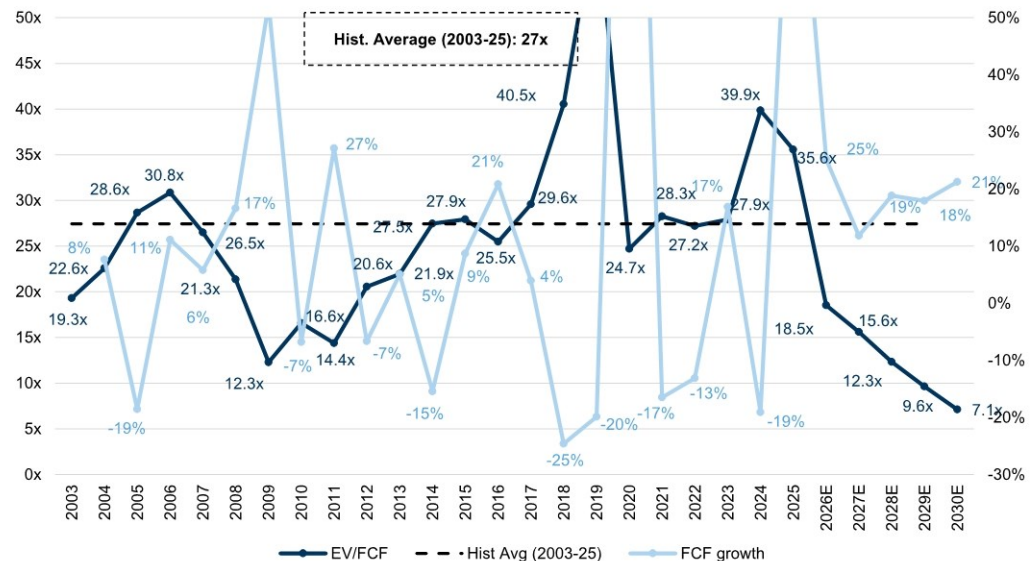


Average SAP prices

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 8: We believe valuation looks attractive on an EV/FCF basis in the context of c.15% 26-28 CAGR over the medium term

SAP's EV/FCF & FCF growth



Average SAP prices

Source: Company data, Goldman Sachs Global Investment Research

Price Target Risks and Methodology

Price Target Risks and Methodology

We are Buy rated. Our 12m PT of €230 and our ADR PT of US\$262 are based on c.23x 3Q27-2Q28E PF EPS (including SBC).

Key risks to our view and price target are as follows: (1) macro risks given broad-based exposure across geographies; (2) cloud and subscription risks such as customer churn during the transition phase would pose downside risks to our estimates; (3) difficulty in gaining traction in S/4 HANA/cloud and not being able to draw benefits from cross-selling synergies in its installed base could cause headwinds to overall cloud growth and margins; (4) increase in opex spending would result in stronger headwinds to margins; and (5) further management changes.

Disclosure Appendix

Reg AC

We, Mohammed Moawalla, Deepshikha Agarwal, Uzair Merchant and Ahlam Haouach, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

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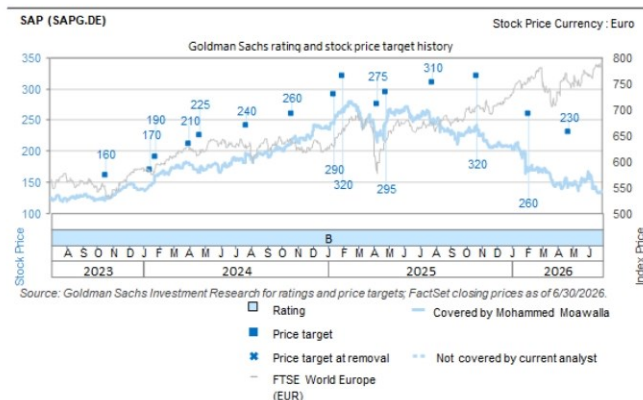
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	Rating Distribution			Investment Banking Relationships		
	Buy	Hold	Sell	Buy	Hold	Sell
Global	50%	34%	16%	65%	59%	43%

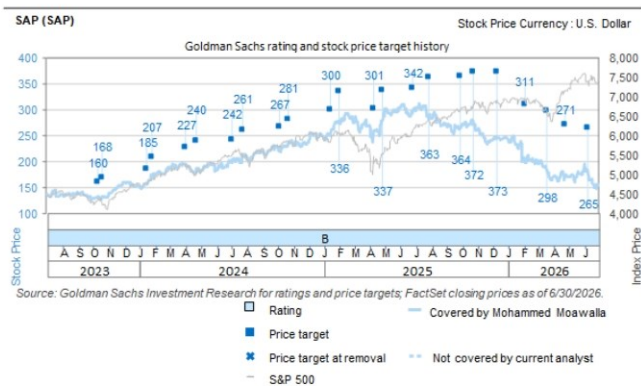
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The price targets shown should be considered in the context of all prior published Goldman Sachs research, which may or may not have included price targets, as well as developments relating to the company, its industry and financial markets.

Target price history table(s)

SAP (SAP)

Date of report	Target price (\$)	Closing price (\$)
24-Jul-26	245.00	160.00
10-Jun-26	265.00	170.30
24-Apr-26	271.00	175.26
20-Mar-26	298.00	175.80
03-Feb-26	311.00	197.29
12-Dec-25	373.00	244.83
24-Oct-25	372.00	269.55
29-Sep-25	364.00	263.82
28-Jul-25	363.00	282.38
26-Jun-25	342.00	295.55
28-Apr-25	337.00	285.35
10-Apr-25	301.00	258.49
30-Jan-25	336.00	279.36
13-Jan-25	300.00	249.53
23-Oct-24	281.00	234.59
04-Oct-24	267.00	220.88
24-Jul-24	261.00	209.40
03-Jul-24	242.00	203.02
23-Apr-24	240.00	188.01
02-Apr-24	227.00	192.12
25-Jan-24	207.00	173.44
16-Jan-24	185.00	156.82
19-Oct-23	168.00	133.38
10-Oct-23	160.00	131.20

SAP (SAPG.DE)

Date of report	Target price (€)	Closing price (€)
24-Jul-26	215.00	140.20
24-Apr-26	230.00	147.28
03-Feb-26	260.00	167.00
24-Oct-25	320.00	233.35
28-Jul-25	310.00	244.05
28-Apr-25	295.00	248.80
10-Apr-25	275.00	230.00
30-Jan-25	320.00	268.05
13-Jan-25	290.00	243.90
23-Oct-24	260.00	218.65
24-Jul-24	240.00	193.82
23-Apr-24	225.00	174.86
02-Apr-24	210.00	177.06
25-Jan-24	190.00	160.76
16-Jan-24	170.00	144.58
19-Oct-23	160.00	127.28

Price targets shown in table(s) are unadjusted for corporate actions.

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